9. INCOME TAXES

The components of the provision for income taxes for the years ended December 31, 2024, 2023, and 2022 were as follows:

(in millions)	2024	2023	2022
Current:			
Federal	$ 27.3	$ 15.2	$ 28.1
Foreign	0.5	(10.1)	15.8
State	3.5	6.7	19.3
	31.3	11.8	63.2
Deferred:			
Federal	3.6	47.7	82.8
State and other	0.3	8.1	0.2
	3.9	55.8	83.0
Total provision for income taxes	$ 35.2	$ 67.6	$ 146.2

For the year ended December 31, 2024, the foreign provision for income taxes is insignificant to our overall position. For the years ended December 31, 2023, and 2022, the foreign provision (benefit) for income taxes is primarily related to the tax impact on the sale of our Canadian facility.

The provision for income taxes for the years ended December 31, 2024, 2023, and 2022 differed from the amounts computed using the federal statutory rate in effect as follows:

	2024		2023		2022	
(in millions, except percentages)	Dollar Impact	Rate	Dollar Impact	Rate	Dollar Impact	Rate
Income tax at federal statutory rate	$ 32.0	21.0 %	$ 64.3	21.0 %	$ 126.8	21.0 %
State tax—net of federal effect	3.0	2.0	13.8	4.5	15.4	2.6
Change in valuation allowance	—	—	(10.7)	(3.5)	10.7	1.8
Other—net	0.2	0.1	0.2	0.1	(6.7)	(1.2)
Total provision for income taxes	$ 35.2	23.1 %	$ 67.6	22.1 %	$ 146.2	24.2 %

The components of the net deferred tax liability included in deferred income taxes in the consolidated balance sheets as of December 31, 2024 and 2023 were as follows:

(in millions)	2024	2023
Deferred tax assets:		
Compensation and employee benefits	$ 8.3	$ 8.1
Operating lease liabilities	20.5	21.4
Federal credit carryforward	34.8	—
State net operating losses and credit carryforwards	15.0	10.5
Other	12.4	14.2
Total gross deferred tax assets	91.0	54.2
Valuation allowance	(1.0)	(0.9)
Total deferred tax assets—net of valuation allowance	90.0	53.3
Deferred tax liabilities:		
Property and equipment	595.9	596.3
Prepaid expenses	7.5	6.8
Intangible assets	14.8	8.1
Operating lease right-of-use assets	19.0	19.6
Other	18.4	18.2
Total gross deferred tax liabilities	655.6	649.0
Net deferred tax liability	$ 565.6	$ 595.7

Unrecognized Tax Benefits

Our unrecognized tax benefits as of December 31, 2024 would reduce the provision for income taxes if subsequently recognized. Accrued interest and penalties for such unrecognized tax benefits as of December 31, 2024 and 2023 were $2.6 million and $2.7 million, respectively. We expect no significant increases or decreases for unrecognized tax benefits during the twelve months immediately following the December 31, 2024 reporting date.

As of December 31, 2024, 2023, and 2022, a reconciliation of the beginning and ending unrecognized tax benefits, which is recorded as other noncurrent liabilities in the consolidated balance sheets, is as follows:

(in millions)	2024	2023	2022
Gross unrecognized tax benefits—beginning of year	$ 4.4	$ 6.0	$ 5.2
Gross increases—tax positions related to current year	—	—	1.0
Gross decreases—tax positions taken in prior years	(0.4)	(0.5)	(0.2)
Settlements	—	(1.1)	—
Gross unrecognized tax benefits—end of year	$ 4.0	$ 4.4	$ 6.0

Tax Examinations

We file a U.S. federal income tax return, as well as income tax returns in a majority of state tax jurisdictions. We also file returns in foreign jurisdictions. The years 2021, 2022, and 2023 are open for examination by the IRS, and various years are open for examination by state and foreign tax authorities. In October 2024, the statute for 2020 expired. State and foreign jurisdictional statutes of limitations generally range from three to four years.

Carryforwards

As of December 31, 2024, we had $248.7 million of state net operating loss carryforwards which are subject to expiration from 2025 to 2045. We also had federal credit carryforwards of $34.8 million which are subject to expiration in 2044, state credit carryforwards of $2.0 million, which are subject to expiration from 2027 to 2049, and no capital loss carryforwards. The deferred tax assets related to carryforwards as of December 31, 2024 were $34.8 million for federal credit carryforwards, $13.3 million for state net operating loss carryforwards, and $1.7 million for state credit carryforwards. Carryforwards are reviewed

for recoverability based on historical taxable income, the expected reversals of existing temporary differences, tax-planning strategies, and projections of future taxable income. As of December 31, 2024, we carried a total valuation allowance of $0.9 million, which was against state deferred tax assets.